

Keeping the cottage in the family



Swapping stories around the campfire. Watching the sun set on the dock. Enjoying relaxing moments in nature without the distractions of everyday routines.

Your home away from home has been the backdrop of so many meaningful moments for your family. Whether it's a cottage, chalet, camp or other type of vacation property, you want to ensure your special place is in the family for generations to come.

However, when you leave your cottage to your children after you pass away, you may also be gifting an enormous tax bill that could force them to sell it.

The challenge

If the property has been in the family for any length of time, its fair market value may be dramatically higher than the original purchase price. When you leave your non-primary property to anyone other than your spouse, the capital gain—the difference between the original price and the current value—is taxable.



Example:

Purchase price in 1980:	\$100,000
Fair market value in 2024:	\$600,000
Total capital gain:	\$500,000
Taxable capital gains (50% of first \$250k)	\$125,000
Taxable capital gains (66.67% of remaining \$250k)	\$166,675
Total amount taxable:	\$291,675
Tax Payable on the sale of the cottage:	\$151,711

(Tax payable is calculated assuming taxable income of \$150,000/year. Calculations will vary based on province, household income, and other factors.)

The solution

Invest in a permanent life insurance policy now to ensure your loved ones have money available for capital gains tax when they inherit the cottage. This type of policy offers steady premiums and issues dividends so you can build up increased cash value for your estate.

Most importantly, it will provide the funds tax-free for children who inherit a beloved family cottage to pay the tax bill, so they don't have to sell it.

Example:

You and your spouse purchase a Co-operators Joint Last-To-Die Whole Life insurance policy. This policy will grow in death benefit and cash value over time due to paid up additions. On the death of the 2nd spouse, the benefit will be available for your children to use to pay any capital gain tax liability and any other estate expenses.

The benefit: Keep the cottage in the family

A permanent life insurance policy can help ensure a hefty tax bill doesn't stand in the way of keeping the cottage in the family for years to come.

Talk to your Advisor today to develop an estate plan uniquely tailored to your life circumstances.



As of June 24, 2024, the inclusion rate for capital gains increased from 50% to 66.67%. This change applies to corporations, trusts, and individuals. Individuals will continue to enjoy the 50% inclusion rate on their capital gains up to the first \$250,000 annually. 66.67% inclusion rate applies to any amounts above \$250,000.

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